

35 Capital management

6 primary questions | Oldest to newest

2026 objectives: 4.8.1-4.8.3, 5.1.3

9 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2006 Q2	5 marks
CA1-P2 September 2009 Q6	20 marks
CA1-P2 April 2011 Q5	15 marks
CA1-P2 April 2015 Q5	17 marks
CA1-P2 April 2018 Q1	6 marks
CA1-P2 September 2018 spare Q2	8 marks

CA1-P2 | April 2006 | Q2

[Current topic](#) | [5 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

2 Outline the reasons why a life insurance company requires capital. [5]

CA1-P2 | September 2009 | Q6

Current topic | 20 marks total | Original PDF p3

Related: Ch 36.

- 6** (i) Describe the main reasons why an insurance company holds capital. [7]

Company X is an investment bank that is in the process of acquiring a large listed life insurance company, Company Y, in order to form a group, XY. As the transaction is in its final stages, Company X has access to all Company Y's internal information. Company Y has an internal risk management policy that sets a capital buffer to ensure the overall capital held is significantly in excess of the minimum required by the regulator.

- (ii) Discuss the reasons for Company Y holding a level of capital significantly above the minimum regulatory requirements. [4]

- (iii) Discuss how Company X could reduce the overall capital requirements of the newly formed group, XY. [5]

In the general economy there has recently been both a restriction in the availability of finance and an increase in the cost of finance.

- (iv) (a) Discuss the potential effect of these changes on Company Y's capital requirements.

- (b) Describe how the possible changes in capital requirements could be assessed.

[4]

[Total 20]

CA1-P2 | April 2011 | Q5

[Current topic](#) | [15 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 5** (i) List six tools used in capital management. [3]
- (ii) Discuss, giving examples, how each of the tools listed in part (i) could be used
 by providers of financial products to manage their capital. [12]
- [Total 15]

CA1-P2 | April 2015 | Q5

Current topic | 17 marks total | Original PDF p3

Related: Ch 36, Ch 3.

- 5** A bank is about to set up a new subsidiary company that will sell life insurance products.
- (i) Outline why a new life insurance company will need capital. [6]
 - (ii) Explain why the bank's insurance subsidiary will need separate capital from its parent company. [2]
 - (iii) List four ways the bank could fund the subsidiary's capital requirements. [2]
 - (iv) Describe how a regulator might set a minimum capital threshold for the subsidiary. [3]
- Five years later the subsidiary's capital has fallen below the required threshold agreed with the regulator.
- (v) Describe the actions that the regulator can take to address this situation. [4]
- [Total 17]

CA1-P2 | April 2018 | Q1

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Describe the capital management tools available to help providers of financial products meet their responsibilities and achieve their goals. [6]

CA1-P2 | September 2018 spare | Q2

Current topic | 8 marks total | Original PDF p2

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive. Related: Ch 36.

- 2**
- (i) Describe why providers of financial products should hold capital. [4]
 - (ii) Outline two approaches to regulation to calculate the adequacy of capital to be held for a financial provider. [4]
- [Total 8]